

9708/11/m/j/16

1-B:

We are interested in finding out the opportunity cost of car usage

The purchase price of car is 6000 and its value after one year is 4500, which represents that depreciation charge is "1500"

Additionally, car repairing costs and insurance, maintenance etc. cost is "1800."

When we purchase car, we will not be able to invest, which means that the opportunity cost of potential earnings after investment will also be incurred of "600"

This gives the total of $1500 + 1800 + 600 = 3900$

We will subtract from it the costs of usage of public transport that is 800, which will give us 3100.

Therefore, the opportunity cost of one year will be 3100.

2-c:

- A- Transition would not lead to build up stock of unsold goods since market mechanism will eliminate surpluses by means of falling prices.
- B- This depends upon whether the economy is open to international trade as for example: in closed economies, there would not be an increase in exports.
- C- Yes, this is correct as there will be an increase in structural unemployment because of a move from primary industry, that is more government oriented to secondary or tertiary industries, that are more market-oriented, arising as a result of workers being immobile, that is, they are not able to easily and flexibly switched in between jobs.
- D- In case of market economies in operation, the prices of goods and services are likely to rise.

3-C

- A- Both economies do not have identical opportunity costs, as in case of country X, the opportunity cost will be **1 capital good : 0.5 consumer goods, and the opportunity cost of country Y will be 1 capital good : 2 consumer goods.**
- B- No, it can not be said that both economies have the same future growth prospects as we are not aware of current resource allocation.
- C- Yes, the opportunity cost is constant, which is represented through linear curves, making this option correct
- D- Terms of trade here represents exchange rate, which can not be found out with this given data; we need information about export prices and import prices.

4-A:

- A- A reduction in sales tax on goods would decrease the prices and in turn increase real incomes, leading to an increase in consumption expenditure, which will increase Aggregate demand, therefore bringing an effect on the actual of the economy, that is, it will lead to the actual moving closer to the potential. Since this does not bring a shift in the PPC, this option becomes correct.
- B- Better training of workers , after having developed human capital, would result in a rightward shift in the production possibility curve
- C- Improvements in agricultural machinery would result in a rightward shift in the PPC.
- D- Again, reclamation of land that was previously not able to be used, would result in an increase in factor of production ,land, again resulting in a rightward shift in the PPC.

5-D:

When calculating the short run supply schedule, price of the good and the quantity supplied are held variable, whereas all other factors that cause a shift in the supply curve will remain unchanged.

- A- The “number of consumers” is a demand factor that would result in a shift in the demand curve, and since they impact prices then, this results in a movement along the supply curve and not a shift , thus making this a “factor that can change”
- B- The price of the good will lead to a movement along the supply curve, and as mentioned above it can be varied
- C- The quantities of all factors will affect the prices and therefore cause a movement along the supply curve
- D- The state of technology causes a shift in the supply curve, which makes this correct as this will have to remain unchanged

6-B:

- A- It can not be concluded whether Brazil has the highest level of specialization, because we only have quantities given and trade is instead based on comparative advantage.
- B- Brazil does produce a greater total volume (of 53800) , which is greater than the combined output of three countries that is 49475 (238975+9500+11000)
- C- This is incorrect as Arabica coffee production is greater than Robusta coffee production
- D- This is incorrect as we are only given the current production, and based on this knowledge, we cannot calculate opportunity cost ratios to determine the “comparative advantage”

7-D:

A-It cannot be perfectly inelastic demand because that is when any percentage change in price leaves the quantity demanded unchanged. In this case, at all price levels, the quantity demanded changes, for e.g. ,at the price level of 10,the qty is 75,whereas at the price level of 9,the qty is 83.33,and at the price level of 8,the qty is 93.75.

B-It does not show relatively inelastic demand, because in that case a fall in price would have led to a fall in Total Revenue, since there is a positive relationship between price and Total Revenue in case of in-elastic demand.

C-It does not represent perfectly elastic demand because in such a case, the price level would have been constant or unchanged.

D-Here, the total revenue is unchanged at 750 ,despite changes in prices because any percentage change in price brings an equal percentage change in qty demanded, therefore the Total Revenue remains unchanged. This shows that the demand is 'unitary-elastic', thus making this correct

8-D:

A-The values of income elasticity of demand help to distinguish between normal goods, inferior goods, and necessity goods. By no means, it can provide information about substitutes; the relevant measure to distinguish between substitutes is cross-elasticity of demand.

B-Necessity goods have a value of 0,therefore public transport cannot be a necessity good.

C-Only, the positive values of income elasticity of demand show that a particular good is normal good.

D-The value of **-0.36** of public transport shows that it is an inferior good, this is because inferior goods generate a negative value of YED.

9-C:

A – In the case of perfectly elastic any minute or fractional change in price brings an infinite change in quantity demanded ,therefore the price level remains unchanged ,thus making this option incorrect as it says that there will be a 50% increase in price .Had the firm increased price ,all other firms would have not followed and therefore quantity demanded and total revenue would have fallen to zero.

B-There would not be any increase in price in case of perfectly elastic demand.

C-This is true that the price level would stay unchanged .Because of greater popularity ,since quantity demanded increases by 50%,the rise in Total Revenue will be by 50%, because there is a positive relationship between quantity demanded and Total Revenue in case of perfectly elastic demand **and the percentage change in quantity demanded is equal to a percentage change in total revenue**, making this option correct.

D-Even though the price level should stay unchanged, a rise in Total Revenue should be by 50% and not by an infinite amount, thus making this option to be incorrect overall.

10-C:

A-Because of fall in real income ,demand decreases ,and due to an increase in per unit tax ,supply decreases.

B-Because of a fall in unemployment, incomes increase thus causing a rise in demand, and as a result of removal of subsidies, costs increase and supply decreases.

C- A rise in the price of bus fares, representing a rise in the price of substitute will increase the demand for car that is an alternative for bus. Whereas, a fall in cost of production causes an increase in the supply of cars, thus making it the right option.
 D – A rise in price of petrol that is a complement to car will reduce the demand for cars and a fall in the number of firms in a car market represents a decrease in supply.

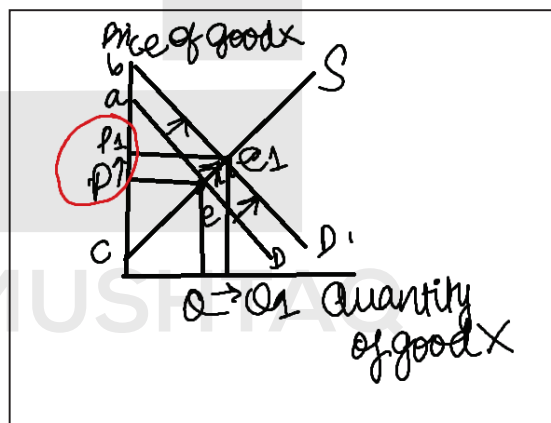
11-D:

- A- ORWY represents the new Total Revenue
- B- PQUT represents the producer burden
- C- PRWT is the tax revenue received by the government. It is obtained by multiplying per unit tax (Note: per-unit tax is the vertical distance between the two supply curves) with the new equilibrium quantity, and is inclusive of both : the producer burden and consumer burden
- D- QRWU represents consumer burden since it is passed to the consumers in form of higher prices

12-D:

Since good X and Y are complements, an increase in supply of good Y will create a surplus and cause the price of good Y to fall, apart from it causing an extension in qty demand of good Y, it will also cause an increase in demand of good "X" that is the complementary good, since there is a negative relationship between the price of one good, and qty of another in case of complements.

- a- The equilibrium price of X does not decrease, neither is there a decrease in quantity supplied.
- b- The equilibrium price does not decrease, even though the equilibrium quantity increases but overall, this option is wrong.
- c- The equilibrium price of X does increase but there is not a decrease in equilibrium quantity
- d- Since the demand for good X increases



from D to D1, and consumers now place a greater value to the product and their willingness to pay increases, and because of a shortage, **equilibrium price rises from P to P1**, and since producer surplus increases from P_{ec} to $P1e1c$, producers are signaled to **extend equilibrium quantity (quantity supplied) from Q to Q1**. This is why this option is correct. This can be seen in figure on the right.

13-C:

Consumer surplus is the difference between the maximum total amount a consumer is willing to pay and the price he actually pays, that is the market price. If a consumer buys four products consecutively, the total willingness will be $0.9+0.8+0.65+0.5$ i.e. 2.85

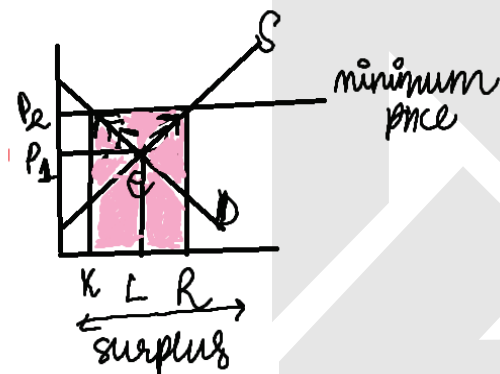
And the total price of four goods will be 0.5×4 i.e. 2.

The difference is the consumer surplus that is 0.85

Whereas, production cost refers to the minimum price a producer is willing to accept, below which a producer would not be able to produce anything. The total will be $0.2+0.3+0.4+0.5$ i.e. 1.4 whereas the total market price is 0.5×4 i.e. 2. The difference b/w the minimum price a producer is willing to accept and the market price is producer surplus. The producer surplus here will be $2-1.4$ i.e. 0.6

This is why option C will be the answer.

14-B:

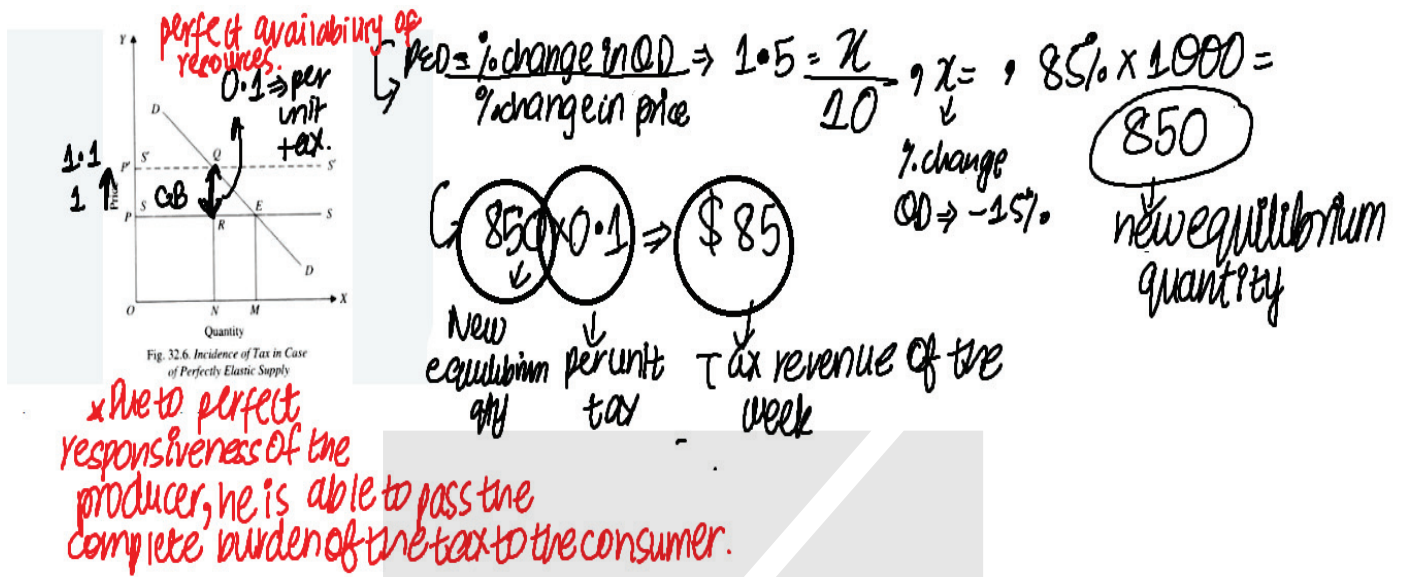


a-KL does not represent the surplus.

b- KR represents the surplus that the government will need to purchase in order to maintain the minimum price of P_2 , this is why it is the answer.

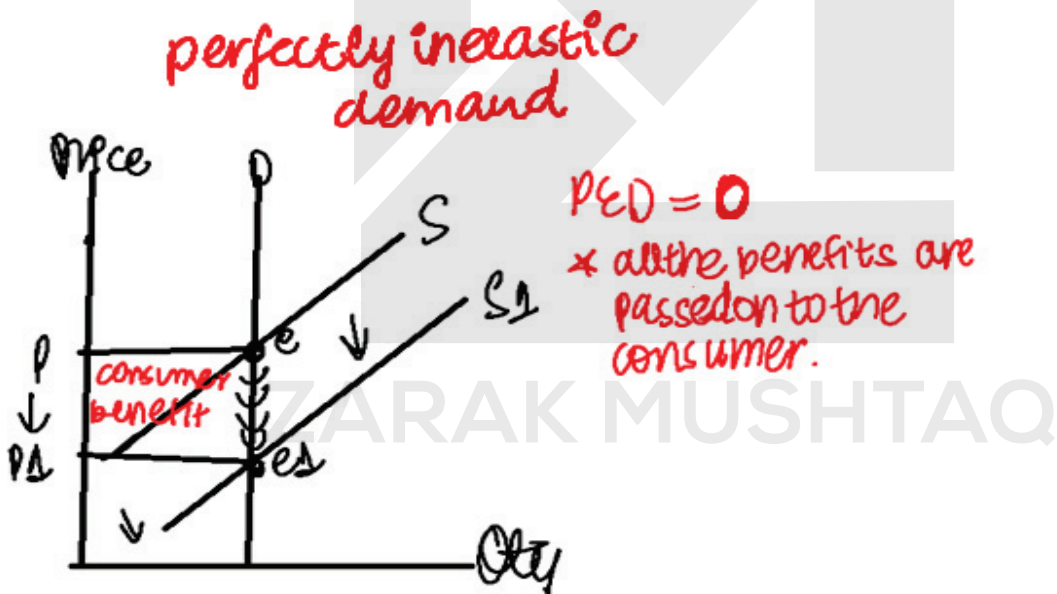
C and D-There is no need to sell any quantity as there is already a surplus in the market as a result of minimum price, thus both these options are incorrect.

15-B:



16-A:

The diagram below explains why option A will be the answer.



17-A:

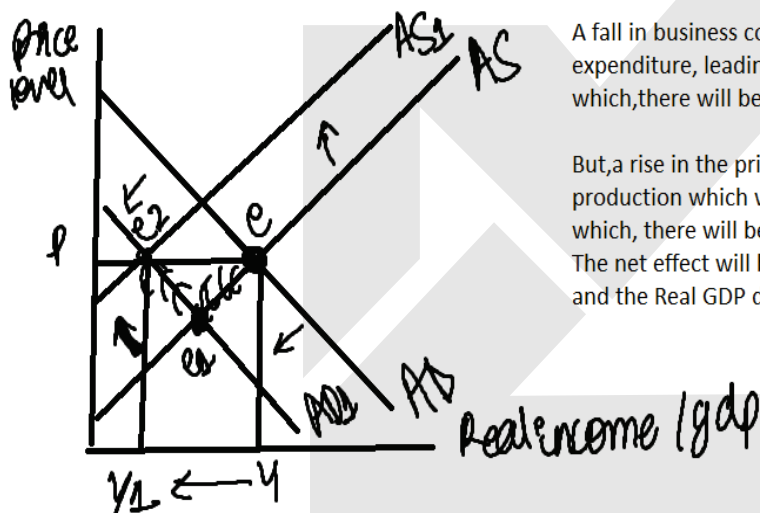
- A- A transfer payment is a payment made without goods and services being received in exchange.
A loan given by the government to the firms to help them will result in firms contributing to the output, which means that it can not be a transfer payment

- B- This is correct as a transfer payment is a payment made to individuals which is not linked to economic activity
- C- No, it is not in exchange for work done
- D- No, it is not in return for any goods.

18-D:

- A- Nationalization does not involve the employees owning 100% of the shares
- B- This is not mentioned if only Bolivians will be allowed to work
- C- TDE company shares cannot be sold to any other private sector Bolivian firm, since the government has nationalized.
- D- Yes, this is correct that the Bolivian government will take ownership of TDE since nationalization has been done.

19-B:



A fall in business confidence will result in a fall in investment expenditure, leading to a fall in Aggregate demand. As a result of which, there will be a fall in prices and a fall in real GDP.

But, a rise in the prices of raw materials will lead to a rise in costs of production which will lead to a fall in Aggregate supply, as a result of which, there will be a rise in prices and a fall in Real GDP. The net effect will be that price level remains uncertain (it can rise or fall) and the Real GDP declines.

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20-C:

On the vertical y axis, **price level** will be shown.

But on the horizontal x-axis, there will be **Real GDP** shown.

This is why, key C will be correct

21-C:

First calculate the weights:

Weight represents the proportion of income and expenditure spent on a commodity.

=For commodity P: the weight is 100 million/5 million i.e. 0.2.

Multiply it with index of year 2 = $0.2 * 160$ that is 32.

=For commodity Q: the weight is 300m/500 m i.e. 0.6

Multiply it with index of year 2 i.e. 80 .this gives 48

=For commodity R: 100/500 i.e. 0.2

Multiply it with index of year 2 i.e. 100 .this gives 20

=Add in all the weighted price indices to arrive at total: $(32+48+20)$;this gives 100

Compare it with the base years index that was 100

This shows that general price level remained the same.

22-C:

Since prices are still increasing but the rate of rise of prices is decreasing, this represents “dis-inflation” in the economy.

- A- In a situation of rising prices, the purchasing powers of fixed income earners will fall.
- B- No, prices would only fall in a situation of deflation , or in other words, negative inflation
- C- Yes, this is correct as “prices are increasing but at a decreasing rate”
- D- We can not determine the real interest rate until we have the data about nominal interest rates.

23-B:

-B is correct as because of a trade surplus, the money supply is likely to increase, indicating a “rise in the rolling of money” as the **foreign currency can be exchanged for domestic currency**

-The money supply would not fall, remain constant or unchanged, thus making all other options incorrect

24-D:

Because of an increase in demand from US residents of holidays in Europe , there will be a greater import of services done, and in order to pay for it, there will have to be more conversion of US dollars into Euros, subsequently leading to an increase in the supply of currency from S1 TO S3, as a result of which, a new equilibrium will be achieved from “X TO D”

This is why, key D becomes correct.

25-A:

Terms of trade is the ratio of export prices to the ratio of import prices

- A- If the average export prices fall by a greater percentage than import prices, this will lead to a “worsening effect” on the terms of trade
- B- If average import prices fall by a relatively higher percentage than import prices, export prices will be relatively higher, representing that terms of trade have improved
- C- If average export prices increase whereas, average import prices decrease, this represents an improvement in the terms of trade.
- D- If export prices rise by a greater percentage than import prices, this reflects that terms of trade have improved.

26-A:

Earlier , lines were parallel ,which indicated that the opportunity cost ratios of both countries were the same, this means that, previously there **was no economic basis for trade, thus making option B incorrect**

Now afterwards, the opportunity cost ratio of country X will be :

40 raw materials: 50 manufactured goods

1 raw material : 1.25 manufactured good.

The opp. Cost ratio of country Y will be:

30 Raw materials: 90 manufactured goods

1 raw material: 3 manufactured goods

X has a lower opportunity cost ratio of raw materials, which means that it will specialize in raw materials and export them. And, since it has a comparative disadvantage in manufactured goods, it will import manufactured goods from Y. This is why, option A will be correct.

C- Before the change , X had an absolute advantage in production of both goods, making this incorrect

D – This is incorrect as before the change, both the countries has same opp. Cost ratios

27-A:

- A- Protectionism is aimed to protect the country from a rise in domestic unemployment as because of this, the country’s sunrise, sunset and strategic industry will be protected from unfair foreign competition and dumping.
- B- Terms of trade is the ratio of export prices to the ratio of import prices. Protectionism has no link with protecting the country’s terms of trade
- C- This is incorrect as in the time of recession, there is a period of falling prices
- D- This is incorrect as well, since a “small country” may not have strict health and safety standards as a reason.

28-A:

- A- A law to alter the power of trade unions , as for e.g.: if labor market reforms are relaxed, that is, it has now become easy to hire and fire labor, will decrease costs and in turn increase Aggregate supply, making this correct
- B- A reduction in the government's fiscal deficit represents contractionary fiscal policy
- C- An open market sale of securities will affect the money supply, thus making it a monetary policy
- D- Imposition of tariffs is an "expenditure switching policy". Above all, tariffs have the potential to raise costs due to a rise in import expenditures, contributing to a fall in "Aggregate Supply" rather than a rise.

29-C:

- A- A cut in income tax is not an expenditure switching policy; instead it is an expenditure dampening policy.
- B- Depreciation, specifically **devaluation is an expenditure switching policy , but it results in a Balance of trade surplus in the long run, when the sum of elasticities of demand of imports and exports is greater than 1.** We are interested in an option that reduces the surplus, which is why, this is correct
- C- Subsidies represent an expenditure switching policy, which when removed will increase the costs of production, and in turn prices of exported goods will rise too, which will lead to a fall in the revenue of exported goods, subsequently leading to a "reduction in a surplus", making this correct
- D- The removal of limits on bank lending represents monetary policy, which is classed as expenditure dampening policy

30-B:

Because of a budget deficit, that is when government spending exceeds tax revenues, there will be a rise in Aggregate demand , leading to deflation being reduced ;in other words, deflation reduces.

Importantly, when interest rates are lowered, they decrease the incentives to save, and therefore increase the consumption expenditure even on imported goods, which will lead to a rise in import expenditures and a rise in outflows would lead to the current account deficit being worsened.

This is why B will be the answer.